LANGSTON'S

Tempus AI, Inc.

TEM NASDAQ

Buy	$50.47 ▼ 1.60%	12M Price Target	52-Week Range	Market Cap
		$65.00	$41.73 – $104.32	$9.06B

TEM: BMS Partnership And ArteraAI Launch Reinforce Buy Thesis

WHAT'S CHANGED

- TEM ripped +8.7% on 5/28 (vol 10.4M, ~2.5x prior days) and held $50.47 on 5/29 (vol 11.5M) following ASCO data readouts, ArteraAI Prostate launch (first externally-developed digital pathology algorithm), and expanded BMS strategic partnership for AI-enabled drug development.
- CEO Lefkofsky sold ~166K shares on 5/27 at $46.17-$46.89 (~$7.76M proceeds) — bearish optics but executed pre-rally and likely 10b5-1 driven; partially offset by 56.7% institutional ownership with ARK, BLK, Baillie Gifford each ~5%.

IMPLICATIONS

The convergence of ASCO catalyst, ArteraAI commercial launch, and BMS deal expansion validates TEM's three-pillar model (Genomics + Data + AI Applications) and supports re-rating toward the higher end of its 52-week range. With Technology sector +6.95% over 5 days providing tape support and options flow skewed bullish (0.23 P/C, unusual $51-52 June calls), near-term momentum favors continuation, though the stock sits at only 14% of its 52-week range — meaning substantial overhead supply between current levels and prior $100+ highs. The BMS deepening signals pharma data licensing remains the highest-margin growth vector, critical given persistent GAAP losses.

VALUATION

At $9.06B market cap on ~$1.31B FY26E revenue, TEM trades at ~6.9x EV/Revenue — a discount to high-growth diagnostic peers (NTRA ~9x, GH ~5x) despite faster top-line growth and superior data moat. Our $65 PT (~29% upside) applies ~8x FY27E revenue, justified by accelerating pharma services attach rate and proven willingness of large biopharma (BMS, AZN, Pfizer) to pay for proprietary multi-modal datasets. Multiple expansion requires demonstrable operating leverage — sustained gross margin >65% and trajectory toward adjusted EBITDA breakeven by late FY27.

KEY RISKS

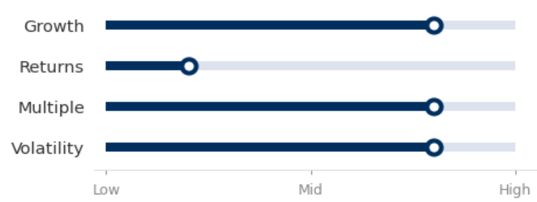
- Cash burn and dilution risk — persistent GAAP losses with mgmt acknowledging "losses persist" per recent commentary; equity raise possible if growth investment continues.
- Insider selling cadence — CEO disposed ~$7.76M on 5/27 alone; continued cluster selling would pressure sentiment regardless of plan structure.
- Reimbursement/competitive risk in oncology Dx — pressure from GH, NTRA, Exact Sciences, and emerging MRD entrants could compress unit economics.

RECENT NEWS

Key Data

Key Data	
Price (USD)	$50.47
12M Price Target	$65.00
Upside / (Downside)	+28.8%
Market Cap	$9.06B
FY2026E Revenue	$1,310M
FY2027E Revenue	$1,680M
FY2026E EPS	($1.05)
FY2027E EPS	($0.55)
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500

TEM — Tempus AI, Inc. | May 29, 2026

PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	**$58.00**	$51.00	**$44.00**
6 Months	**$72.00**	$60.00	**$40.00**
1 Year	**$90.00**	$65.00	**$34.00**
2 Years	**$125.00**	$82.00	**$30.00**
5 Years	**$220.00**	$130.00	**$22.00**
10 Years	**$425.00**	$215.00	**$18.00**

SECTOR INTELLIGENCE

HOT SECTORS: Technology (+6.95% 5D), Materials (+2.26% 5D)

COLD SECTORS: Utilities (-1.29% 5D), Comm. Svcs (-0.35% 5D)

ROTATION WATCH: Tech leadership extending into AI-adjacent healthcare names; with Industrials/Materials firming, risk-on tone favors high-beta growth — supportive for TEM's beta ~2 profile into June.

BYPRODUCT PLAY: AI-data licensing economics validated by BMS deal create halo for other proprietary clinical dataset owners (VEEV, SDGR, RXRX); pharma services TAM expansion lifts the entire AI-drug-discovery cohort.

OUTPERFORMERS & PEER CONTEXT

- RXRX (Recursion Pharmaceuticals): AI-pharma cohort leader on partnership-driven re-rating; demonstrates market willingness to pay for AI-enabled drug discovery platforms.
- NTRA (Natera): Continues to outpace diagnostic peers on MRD/Signatera adoption; benchmark for what oncology Dx scaling looks like at maturity.

TEM CONTEXT: TEM is reclaiming relative strength after months of underperformance — at 14% of 52-week range it remains a laggard, but the 5/28 volume surge (10.4M vs. 4M avg) suggests institutional re-engagement. Catching up to AI-Dx peer cohort but still must prove the data flywheel can translate to operating leverage.

INVESTMENT STRATEGY

7/10 Conviction Score

Position Size: 2-4% of portfolio

Entry Points: $45-48 on pullbacks

Time Horizon: 12-24 months

Thesis Invalidation: Revenue growth deceleration below 25% or loss of major pharma data partner

Hedging: Paired short vs. GH or NTRA at richer EV/Rev multiple